

ANALYSIS OF OPERATING EXPENSE

Per cent of gross receipts expended for:	Atchison			Southern Pacific			N. Y. Central R. R.		
	1921	1918-20	1913-17	1921	1918-20	1913-17	1921	1918-20	1913-17
Maintenance	36.9	36.0	30.1	33.9	34.3	25.4	31.9	36.3	29.9
Transportation, etc.	38.7	39.6	34.1	45.0	45.1	38.8	45.1	47.6	40.0
Total Operating Expenses	75.6	75.6	64.2	78.9	79.4	64.2	77.0	83.9	69.9

It will be observed that Atchison has been consistently liberal in its maintenance expenditures. As compared with the similarly located Southern Pacific, Atchison has regularly devoted a larger percentage of its revenues to upkeep, and a much smaller percentage to transportation charges.

Capitalization Structure. The proportion of stocks to bonds is largest for Atchison and least for New York Central. The capitalization of the latter system appears rather ill-balanced, so that relatively small changes in net income result in wide fluctuations in the balance available for each share of stock. In prosperous years this preponderance of bonded debt results in a large apparent earning power for the stock, but in periods of depression it may constitute a serious burden.

SECURITIES HELD BY PUBLIC (THOUSANDS OMITTED)

Class of issue	Atchison (Dec. 31, '21)	% of total	Southern Pacific (Jan. 14, '21)	% of total	N. Y. Central Railroad (Dec. 31, '20)	% of total	N. Y. Central System (Dec. 31, '20)	% of total
Bonds and guaranteed stocks	\$289,888	45.3	\$473,644	57.9	\$840,110*	77.1	\$1,156,261*	77.5
Preferred stocks	124,173	19.4					9,998	0.9
Minority stocks							74,302	4.9
Common stocks	225,398	35.3	344,780	42.1	249,597	22.9	249,597	16.7
Total	\$639,459	100.0	\$818,424	100.0	\$1,089,707	100.0	\$1,490,158	100.0

* Includes Securities of Leased Companies, and \$66,700,000 for cash rentals capitalized at 5%.

Conclusion. The unique status of Atchison in the railroad field is perhaps best illustrated by its treasury position. Despite the fact that the Company has sold virtually no bonds during the past eight years, it held on December 31st last over \$52,700,000 in cash and government bonds, while its current liabilities totalled \$28,279,000.